

DEAL ROOM ANALYSIS · CONFIDENTIAL

Midtown Las Vegas

The Room We Have to Work With

A partner-only breakdown of all 17 units, the exact margin between strike and buyback, and every lever available if the investor deck doesn't land on the first pass.

\$11M	\$16M	\$5M	17
STRIKE (LOCKED)	BUYBACK (LOCKED)	TOTAL SPREAD	UNITS, UNIT-BY-UNIT

🔒 Strike & buyback numbers below are IDENTICAL to the public investor deck — never move these

What Stays **Exactly the Same** Across Every Conversation

These two numbers are what every investor, operator, or LP sees. They are contractual and they do not change no matter which structure or which partner is running the conversation. Everything negotiable in this document lives strictly between them.

Strike Price — \$11,000,000

The full 17-unit exercise price. Per-unit: **\$647,059**. This is what we've told investors and it is what appears on the contract. It does not move up or down for any partner conversation.

Developer Buyback — \$16,000,000

Contractual guaranteed exit for the full position. Per-unit: **\$941,176**. This is the developer's obligation in writing — no partner can adjust it, and no partner should imply it's negotiable.

WHY THIS MATTERS FOR THIS DOCUMENT

The \$5M spread between strike and buyback is fixed and known. What's *not* fixed is how we price our own position inside that spread — the assignment fee, the carry, the carve-out split, the kicker. That's the room. This doc maps it so anyone on the team can explain, with numbers, that there's more flexibility than the headline deck shows — without ever touching the two numbers above.

All 17 Condos, Individually

Same strike, same buyback, same spread — applied unit by unit. This is the table to pull up if a partner asks "how much room is actually in this" and wants to see it broken down instead of taking the aggregate number on faith.

UNIT #	STRIKE ALLOCATION	BUYBACK ALLOCATION	PER-UNIT SPREAD	CUMULATIVE STRIKE	CUMULATIVE BUYBACK	CUMULATIVE SPREAD
Unit 1	\$647,059	\$941,176	\$294,118	\$647,059	\$941,176	\$294,118
Unit 2	\$647,059	\$941,176	\$294,118	\$1,294,118	\$1,882,353	\$588,235
Unit 3	\$647,059	\$941,176	\$294,118	\$1,941,176	\$2,823,529	\$882,353
Unit 4	\$647,059	\$941,176	\$294,118	\$2,588,235	\$3,764,706	\$1,176,471
Unit 5	\$647,059	\$941,176	\$294,118	\$3,235,294	\$4,705,882	\$1,470,588
Unit 6	\$647,059	\$941,176	\$294,118	\$3,882,353	\$5,647,059	\$1,764,706
Unit 7	\$647,059	\$941,176	\$294,118	\$4,529,412	\$6,588,235	\$2,058,824
Unit 8	\$647,059	\$941,176	\$294,118	\$5,176,471	\$7,529,412	\$2,352,941
Unit 9	\$647,059	\$941,176	\$294,118	\$5,823,529	\$8,470,588	\$2,647,059
Unit 10	\$647,059	\$941,176	\$294,118	\$6,470,588	\$9,411,765	\$2,941,176
Unit 11	\$647,059	\$941,176	\$294,118	\$7,117,647	\$10,352,941	\$3,235,294
All 17	\$11,000,000	\$16,000,000	\$5,000,000	—	—	—

UNIT #	STRIKE ALLOCATION	BUYBACK ALLOCATION	PER-UNIT SPREAD	CUMULATIVE STRIKE	CUMULATIVE BUYBACK	CUMULATIVE SPREAD
Unit 12	\$647,059	\$941,176	\$294,118	\$7,764,706	\$11,294,118	\$3,529,412
Unit 13	\$647,059	\$941,176	\$294,118	\$8,411,765	\$12,235,294	\$3,823,529
Unit 14	\$647,059	\$941,176	\$294,118	\$9,058,824	\$13,176,471	\$4,117,647
Unit 15	\$647,059	\$941,176	\$294,118	\$9,705,882	\$14,117,647	\$4,411,765
Unit 16	\$647,059	\$941,176	\$294,118	\$10,352,941	\$15,058,824	\$4,705,882
Unit 17	\$647,059	\$941,176	\$294,118	\$11,000,000	\$16,000,000	\$5,000,000
All 17	\$11,000,000	\$16,000,000	\$5,000,000	—	—	—

The 3-Unit Floor Inside the Same Ledger

The contractual 3-unit minimum floor is not a separate deal — it's the first 3 rows of the same table above. Showing it this way makes clear to a hesitant partner that even the smallest possible entry sits on the identical per-unit economics as the full 17.

3-Unit Floor

Strike: **\$1,941,176**

Buyback: **\$2,823,529**

Spread: **\$882,353**

Mid Split (10 Units)

Strike: **\$6,470,588**

Buyback: **\$9,411,765**

Spread: **\$2,941,176**

Full 17

Strike: **\$11,000,000**

Buyback: **\$16,000,000**

Spread: **\$5,000,000**

TAKEAWAY

Any check size between 3 and 17 units carries the exact same ~26.7¢ of spread per dollar of strike. There is no unit count where the deal gets worse per-unit — the room scales linearly. That's a clean, honest thing to say to a partner who's only comfortable with a smaller position.

Four Levers That **Move** — With Strike & Buyback Untouched

If an investor balks at the published ask in the main deck, these are the four dials we can turn without changing a single number on the strike/buyback side. Published numbers are the anchor; these ranges are the actual room.

1. Assignment Price (Structure 1 — Full Assignment)

Published ask: \$2.75M at close. The hospitality-operator angle in the main materials shows this can go as low as \$1.5–2M cash and still clear a real margin over the \$2.5M cost basis floor.

\$1.5M_{REAL FLOOR} **\$2.75M**_{PUBLISHED ASK} **\$1.25M**_{ROOM TO GIVE}

2. Back-End Kicker % (Structure 1)

Published: 15% of net profit at exit. This is pure upside-sharing, doesn't touch cash at close — easiest single lever to sweeten without giving up current-dollar margin.

0%_{FLOOR (WALK-AWAY)} **15%**_{PUBLISHED} **up to 25%**_{CAN OFFER}

3. Carve-Out Split (Structure 2 — Carve X, Keep 17-X)

Published: carve 14, keep 3 for \$2.5M at close. The split itself is arbitrary — 12/5, 10/7, or any combination reprices proportionally off the same per-unit spread (\$294K/unit) shown in the ledger above.

12 / 5_{SMALLER CARVE} **14 / 3**_{PUBLISHED} **17 / 0**_{FULL CARVE OPTION}

4. Origination Fee & Carry (Structure 3 — GP Syndication)

Published: \$1.5M fee + 30% carry above an 8% LP pref. Both numbers can flex down for a larger anchor LP without threatening the \$16M floor case that makes the raise fundable in the first place.

\$750K + 20%_{AGGRESSIVE GIVE} **\$1.5M + 30%**_{PUBLISHED}

If the Deck Doesn't Land — What to Say

Talking points for partners running the conversation. Never quote the "real floor" numbers as an opening offer — start at published, concede from this map only as needed, and never let strike or buyback come up as something in play.

IF THEY SAY THE ENTRY PRICE IS TOO HIGH

"The \$2.75M is our ask, not a hard floor — there's room to structure this closer to \$2M cash if the timeline or check size works for you. What we won't move is the \$16M buyback or the \$11M strike — those are contractual, in writing, from the developer."

IF THEY WANT A SMALLER POSITION THAN 3 UNITS

"Every unit in this deal carries the same math — \$647K in, \$941K guaranteed value, roughly \$294K of locked spread. We can size this to whatever check works. The floor isn't 3 units, it's however small you want to go — the per-unit economics don't change."

IF THEY PUSH ON THE BACK-END KICKER

"15% is our starting split on profit above the buyback. That number has room — we can go meaningfully higher on the kicker without touching the cash price, since it only pays out on the upside we're both betting will show up anyway."

HARD LINE — NEVER SAY THIS

Never suggest the \$11M strike or \$16M developer buyback are negotiable, approximate, or "could probably move." They are the two numbers every investor conversation is anchored to and they must stay identical to the public deck in every room, every time.